

OFFSHORE EPC PLATFORM DRILL TOWER CONSTRUCTION PROJECT

MONTHLY EXECUTIVE STEERING COMMITTEE STATUS BRIEFING

Status Date: August 31, 2026 (Month 8 / Week 36)

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Overall Project Health Status: 🚨 CRITICAL COST OVERRUN & SCHEDULE SLIPPAGE (RED) Budget Burn Out: Month 9 (Sep 2026)

1. KEY EVM PERFORMANCE METRICS

Metric	Value	Context / Threshold Info
Baseline Contract Budget (BAC)	\$26,500,000	Approved original baseline budget ceiling
Earned Work Complete (EV / BAC)	66.19% (\$17.54M)	66.19% of work scope accomplished to date
Planned Work Baseline (PV / BAC)	77.36% (\$20.50M)	77.36% of work baseline scheduled to date
Cumulative Actual Costs (AC)	\$23,440,000	Actual funds spent (exceeds EV by -\$5.90M)
Cost Performance Index (CPI)	0.7483	\$0.75 earned value generated for every \$1.00 spent (\$0.75 / \$1.00)
Earned Schedule Velocity (SPI _t)	0.9250	-18.2 Days behind baseline schedule progress
Critical Ratio (CR = CPI × SPI)	0.6402	Compound overall project health index (CPI 0.7483 × SPI 0.8556 < 0.90)

2. OUTTURN PREDICTIONS & P90 RISK

Scenario	EAC Outturn	Estimated Completion Date
Deterministic Base	\$35,413,604	Jan 31, 2027 (+31d)
Monte Carlo P50	\$34,060,783	Feb 27, 2027 (+57d)
Monte Carlo P90	\$35,815,202	Mar 14, 2027 (+72d)

* P90 Reserve Required: +\$401,598 above base EAC.

3. PRIMARY VARIANCE DRIVERS

- Egersund Yard Rework (WBS 1.3.2): Pipe tolerance mismatch requiring 24/7 NDT welding (+\$2.40M / 26.9% of overrun).
- Time Delay Overhead Spread (\$SPI_t): Extending execution past Dec 31, 2026 spreads PMO & site overhead (+\$3.81M / 42.8% of overrun).
- Heavy Lift Vessel Weather Standby (WBS 1.4.1): Autumn sea-state vessel standby (+\$1.30M / 14.6% of overrun).

4. REQUIRED STEERING COMMITTEE ACTIONS

- Authorize Overrun Credit Line: Secure +\$8.91M financing before September 15, 2026 (Month 9 budget exhaustion).
- Cap Yard Rework Billing: Transition Egersund yard to a fixed-fee labor cap for remaining mast assembly.
- Compress Offshore Hook-up: Recover 15 calendar days to preserve January 31, 2027 Commercial COD.